Learning Stata

Problem set 3

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To do

1. Download country-level GDP per capita in constant 2015 US$ for the 2000–2023 period from `https://databank.worldbank.org/source/world-development-indicators`.
2. Download waves 6 and 7 of the World Values Survey (WVS) from `https://www.worldvaluessurvey.org/WVSContents.jsp`
3. Using countries that are present in both waves of the World Values Survey, construct a country-year data set with the following variables:
   - Measures of trust in people and of trust in institutions (army, police, court), and a synthetic index of measures of trust in institutions.
   - A measure of education.
   - Average growth rate of per capita GDP over the five years after the survey.
4. Complete the following tasks:
   a) Using ordinary least squares, estimate the cross-section relationship between trust in people and in institutions, on the one side, and GDP growth, on the other side.
   b) Estimate the same model, complemented with country-level fixed effects.
   c) Compare the two models (using relevant statistical tests). Comment.
   d) Add the measure of education as supplementary explanatory variable in both models. Comment.
   e) Export all estimations' results in LaTeX.tex and Excel (.xls) formats.
5. Using the original GDP data set and wave 6 of the WVS, draw the evolution of GDP over the entire period for countries that are in each quartile of the distribution of the index of trust in institutions. Make sure that the the graphical representation is self-contained. Save the graphic as a Stata graph (.gph) and as a PNG (.png) file.

Bonus. Using the World Values Survey, explore (with estimations, tests and illustrative graphics) how trust in people varies with individual income.

Guidelines

- Tables and graphics musty be saved in dedicated "Out/..." folders. Other usual guidelines apply.
- Upload your *learning_stata_problem_3* folder (and its content) as a zipped folder named "*stata_problem_3_yourname1[_yourname2].zip*" to the relevant AMeTICE section.